

Diaspora **ECONOMIC DOWNTURN**

main attraction in leaving the US. The economic downturn seems to have accelerated the exodus: "My initial prediction was that 50,000 would go back in the next five years," says Wadhwa. "Now, at least one lakh will go back as they lose jobs and visas."

Interestingly enough, 30 per cent of the returnees are green card holders and American citizens, going back to start new companies in India with their savings. According to Arvind Panagariya, professor of Economics at Columbia University and a Senior Fellow at the Brookings Institution, the new hardened attitude on H-1B visas is causing the flight, with 16-20,000 Indian nationals having returned. Panagariya, who is the author of *India: The Emerging Giant*, and came to the US in 1974, says, "In my generation any movement was one-way. If you left the US, that was it. You were not going to regain entry. These youngsters now can come back. Even in a softer Indian market, it is easier for these kids as they carry special skills."

Indeed, for many young Indian-Americans, it's a time to experiment. Neel Pahlajani, a graduate of Carnegie Mellon, was with an IT start-up in New York when its funding dried up. Rather than look for a job, he launched his company, Hoops India, taking basketball to India. As Panagariya points out, "The Indian economy is also impacted but worldwide it's the one that has got impacted the least. In the last quarter of 2008, India's growth rate was 5.3 per cent, China's was 2 per cent and America's was -6.2. In good times, the US economy grows at 3-4 points so to go to -6.2 per cent is huge."

Ask Dr Hemant Patel, past president of AAPI (American Association of Physicians of Indian origin), about the other wealthy lot—Indian-American physicians—and he says: "This economy has affected everybody. Even the physicians' practices are affected because when people lose their jobs, they don't have health insurance and come sparingly to



KIRPAL SINGH

New York taxi driver who has been in the US for 16 years

As people forgo taxis for buses and trains, his fares and tips have decreased. He is finding it hard to make the monthly mortgage and his home is currently in foreclosure. Has a wife and two children to support.

"Everything has increased but my income has decreased. If it remains this way, we will have to go back to India."

physicians, so there's a loss of income." Patel, who also heads the Indian-American Committee of AAPI that looks after the social interests of the community, says blue collar workers like gas station attendants and convenience store workers also exist. "We see increasing numbers of people who have a job but are barely making their ends meet. Health becomes a low priority when they are squeezed out."

Many Indian-Americans in academia are starting to find India attractive, as hiring freezes and cost cutting hits top American universities. Even the garment industry, where the Indian-American community is heavily invested, is also going slow as consumers abandon malls for all but the most necessary shopping. The diamond industry where Indians are prominent, is seriously impacted as Americans cut luxury spending. One thing which may be helping many